International Political Economy (SOCS-SHU 222)

THE INTERNATIONAL MONETARY SYSTEM

Instructor: JING QIAN

Quiz 1 Recap

Question 1

The purpose of this exam is to solve

- A tragedy of the commons problem
- A collective action problem
- A moral hazard problem
- √ A commitment problem
- A coordination problem

→ Class 1 slide

Quizzes

What's the point?

- CREDIBLE COMMITMENT
- Designed to help you to do your work
- Emphasizes a key point of the class:

The Importance of Incentives

Why choosing your own weight?

- *PRIORITIES*
- *Commitment and Ownership*

Question 11-13

	Player 2	
Player 1	Cooperate w/friend	Defect (rat)
Cooperate w/friend	**-3, -3**	**-25, -1**
Defect (rat)	**-1, -25**	**-10, -10**

What is the one-shot equilibrium of this game?
➔ Defect – Defect

What is collectively optimal (Pareto optimal) outcome in the above game?
➔ Cooperate – Cooperate

In a repeated setting, which of the following is an equilibrium?*
➔ Cooperate – Cooperate (infinitely repeated)
➔ Defect – Defect (finitely repeated)

Question 15

According to the “factor model,” trade causes

- the income of the abundant factor to fall
- the income of the scarce factor to rise
- the income of the import-competing sector to fall
- the income of the export-oriented sector to rise
- √ none of the above

Question 18-19

	Land-Labor Ratio: High	Land-Labor Ratio: Low
Advanced Economy	Abundant: Capital, Land Scarce: Labor A	Abundant: Capital, Labor Scarce: Land B
Backward Economy	Abundant: Land Scarce: Capital, Labor C	Abundant: Labor Scarce: Capital, Land D

Class Conflict:

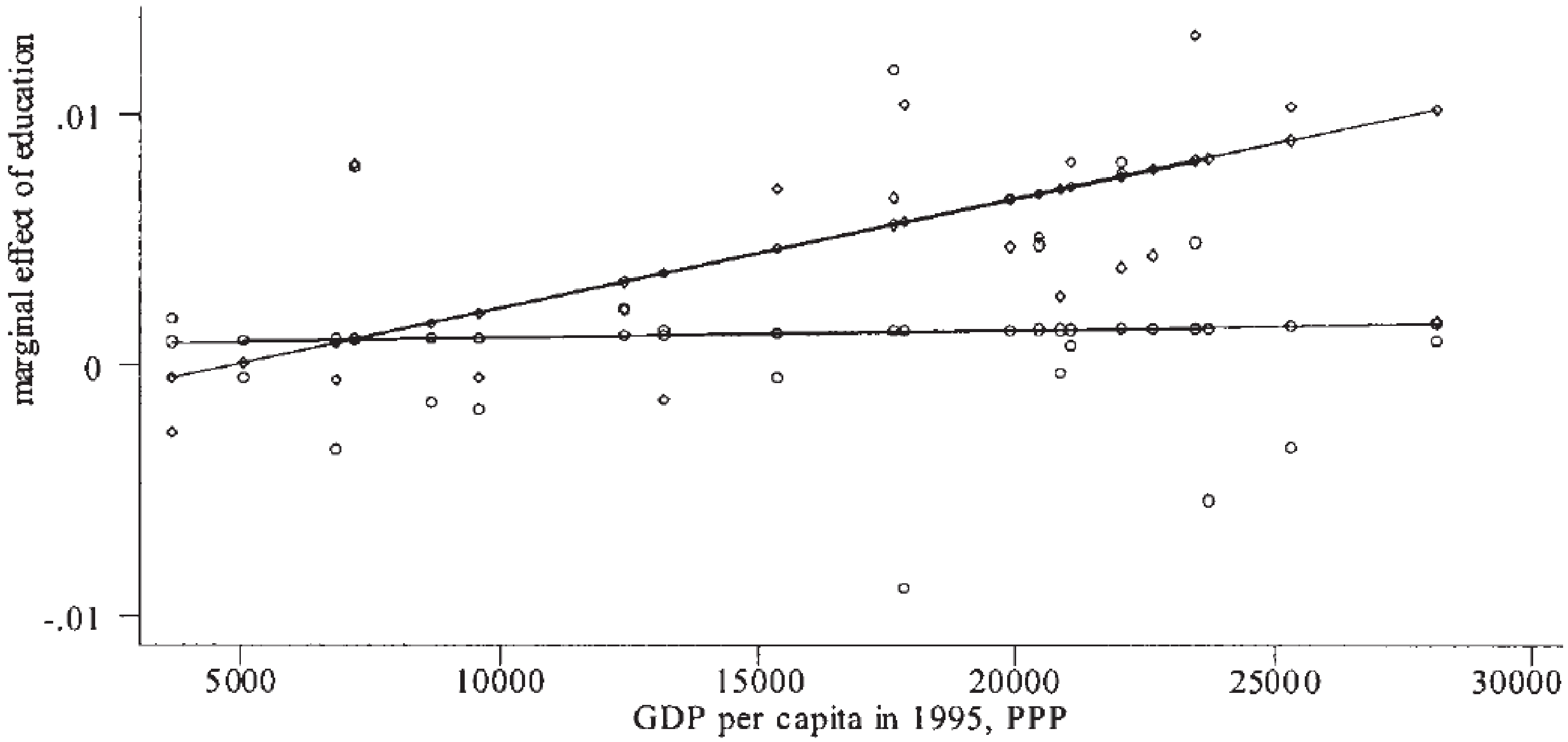
- Capital & Land vs.
- Labor

Urban-Rural Conflict:

- Capital & Labor vs.
- Land

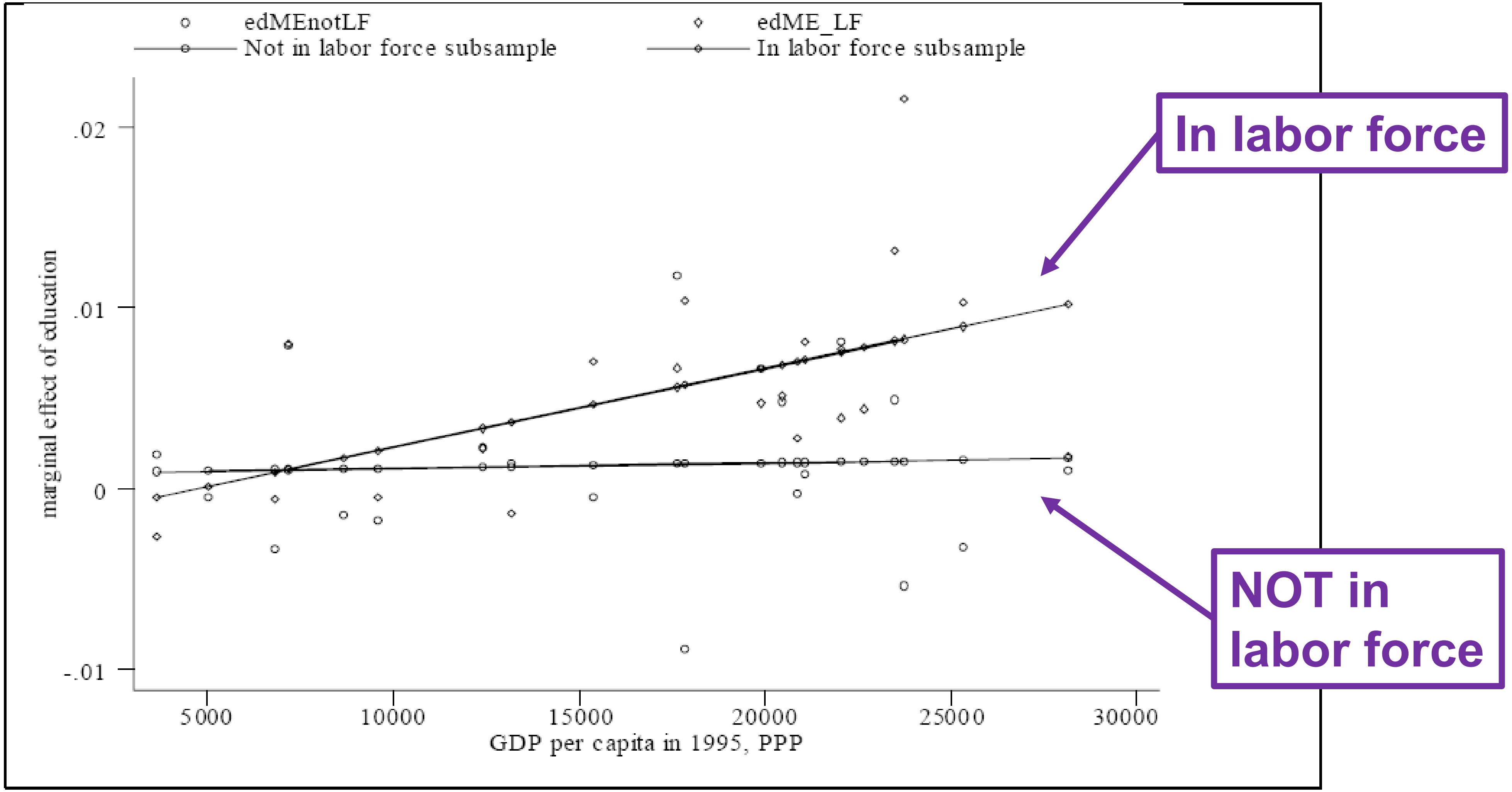
- Scarce factor oppose free trade
- Abundant factor support free trade

Question 48 – Mayda(2006)



The effect of education appears to be economically not culturally driven – holds only for people in the labor force

Figure 2b: Labor-force subsample vs. out-of-labor-force subsample (ISSP-NI)



not in LF: the coefficient of the line is 2.82e-08, insignificant (robust standard error=1.25e-07);
in LF: the coefficient of the line is 4.36e-07, significant at 5% (robust standard error=1.73e-07).

Question 56

Both Western European fascism and South American populism are characterized by political conflict that cuts across different segments of society. In both cases, trade politics is structured along ________cleavages.

Figure 3. Predicted Effects of Declining Exposure to Trade

	Land-Labor Ratio: High	Land-Labor Ratio: Low
Advanced Economy	Class cleavage: Labor gains power. Land and capital lose. (U.S. New Deal)	Urban-rural cleavage: Land gains power. Labor and capital lose. (Western European Fascism)
Backward Economy	Urban-rural cleavage: Labor and capital gain power. Land loses. (South American Populism)	Class cleavage: Land and capital gain power. Labor loses. (Asian & Eastern European Fascism)

Office Hour

Sign-up to go through the quiz with me

jingqian.org/IPEclass/officehour

Thoughts?

Quiz 1 – Follow Up

GOOD NEWS!

- Quiz 1 weight reassignment (due March 27 at noon on Brightspace)
    - Original choice OR 30% - 30% even split
- EXTRA CREDITS (all due May 6 at 11:59pm on Brightspace)
    - ✓ Watch a related movie/documentary & submit a short memo (1pt max)
    - ✓ Attend a workshop or academic talk & submit a short memo (1pt, max 2 times)
        - ✓ Excluding required guest lectures
        - ✓ Include optional guest lectures (AND recordings from previous ones)

The International Monetary System

READING ASSIGNMENT:

Oatley Chapter 10

The Exchange Rate System

A set of rules governing how much national currencies can appreciate and depreciate in the foreign exchange market

FIXED-BUT-ADJUSTABLE

MANAGED FLOAT

FIXED

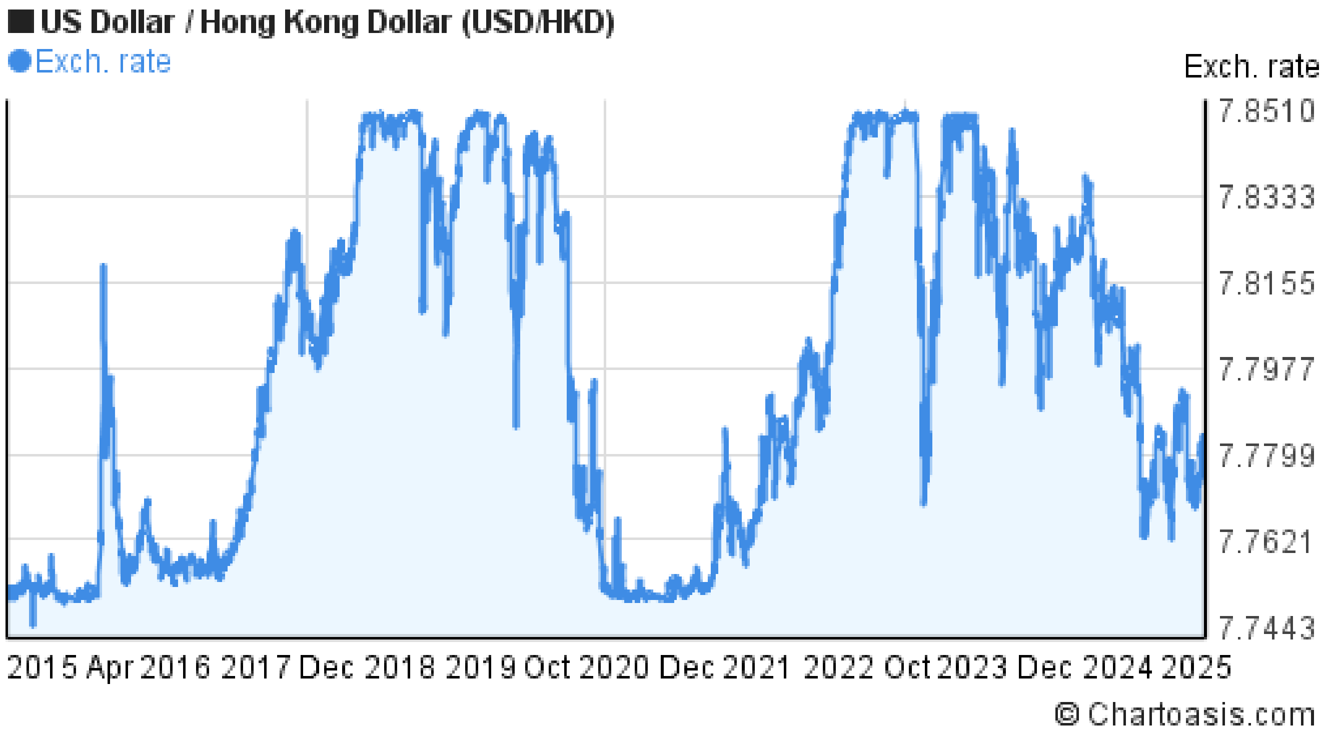
FLOATING

The Exchange Rate System

FIXED: governments allow for only very small changes. The government maintains this fixed price by buying & selling currencies in the foreign exchange market.

HONG KONG MONETARY AUTHORITY
香港金融管理局

The Linked Exchange Rate System (LERS) has been implemented in Hong Kong since 17 October 1983. Through a rigorous, robust and transparent Currency Board system, the LERS ensures that the Hong Kong dollar exchange rate remains stable within a band of HK$7.75-7.85 to one US dollar.



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USD:HKD > 7.85?

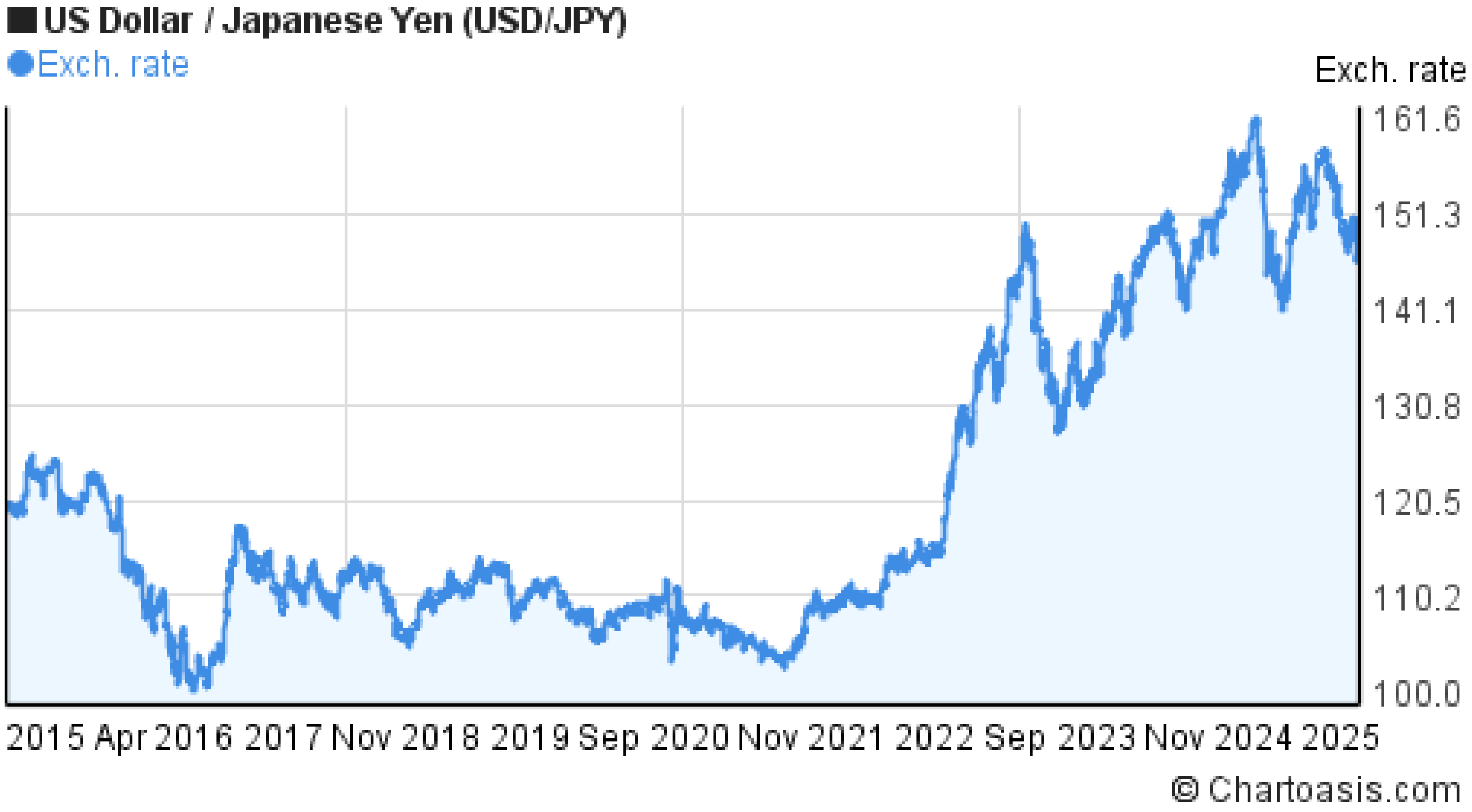
- The HK government would:
- Sell USD reserves
- Purchase HKD
- *Price of HKD goes up*
- *USD:HKD ↓*

USD:HKD < 7.75?

- The HK government would:
- Purchase USD
- Sell HKD
- *Price of HKD goes down*
- *USD:HKD ↑*

The Exchange Rate System

FLOATING: governments do not intervene. There are no limits on how much the XR can move up or down (e.g., US$)



The Exchange Rate System

A set of rules governing how much national currencies can appreciate and depreciate in the foreign exchange market

- FIXED: governments allow for only very small changes. The government maintains this fixed price by buying & selling currencies in the foreign exchange.
- FLOATING: governments do not intervene. There are no limits on how much the XR can move up or down (e.g., US$)
- FIXED-BUT-ADJUSTABLE: Governments intervene under a set of well defined circumstances (e.g., Bretton Woods… note: well defined circumstances can be devasting with speculators – surprise is important when it comes to monetary policy!)
- MANAGED FLOAT: Governments intervene but there are no rules (surprise!) – these days most governments do this…

Balance of Payments

An accounting device that records all international transactions between a particular country and the rest of the world for a given period.

Three main components of the BoP

- Current Account: non-financial transactions
  - Imports & exports of goods & services, royalties, fees, interest payments, profits, remittances, foreign aid grants
- Capital Account: capital transfers
  - Capital transfers (e.g. debt forgiveness, migrant transfers); Non-produced, non-financial assets (e.g. rights to natural resources, patents, leases)
- Financial Account: transactions in financial assets and liabilities
  - Foreign direct investment, portfolio investment (stocks & bonds), & other investments (such as changes in holdings in loans, bank accounts, and currencies)

Current Account Balance + Capital Account Balance + Financial Account Balance + *Statistical Discrepancy* = 0

U.S. 2024 BoP: https://jingqian.org/IPEclass/BoP (p7-8)

Adjusting the BoP

Current Account Balance + Capital Account Balance + Financial Account Balance + *Statistical Discrepancy* = 0

- But with millions of international transactions there is no assurance will produce a perfect balance. When they don’t, the country faces an imbalance of payments

- Adjusting the BOP under Fixed XR -> Price Changes
- Adjusting the BOP under Floating XR -> Exchange Rate Movements

Adjusting the BoP under Fixed XR

- The adjustment occurs through PRICE CHANGES
- Deficit countries see a reduction in the money supply
  - So prices fall
- Surplus countries see an increase in the money supply
  - So prices rise
- The prices of goods (and services… wages?) actually rise and fall!
- The government maintains the fixed XR by using monetary policy
  - Interest rates go up in deficit countries, they go down in surplus countries
- Monetary policy cannot be used to manage domestic economic activity (*unless there are **strict** capital controls*)

Adjusting the BoP under Fixed XR

- In early 1990s, fixed XR between Argentine Peso and US Dollar
- Say Argentina runs a trade deficit with US, it
  - Imports = $10 billion
  - Exports = $6 billion
  - Current account deficit = -$4 billion
- So Argentina pays 10 billion USD but only receives 6 billion pesos
  - Demand for USD is higher (10>6)
  - Depreciation pressure on peso
- **To maintain fixed XR, Argentine sells $4 billion to buy back pesos**
  - That is 4 billion less pesos from circulation
  - So less money supply
- With money supply falls
  - Less spending
  - Less lending
  - Falling wages and prices (deflation)

Adjusting the BoP under Floating XR

- The adjustment occurs through EXCHANGE RATE MOVEMENTS
- Deficit countries see a depreciation in their currency (excess supply of the currency lowers the “price” or XR of the currency)
  - So, in terms of other currencies,
  - Prices of exports fall – Accordingly, demand for exports goes up
  - Prices of imports rise – Accordingly, demand for imports goes down
- Surplus countries see an appreciation in their currency (excess demand for the currency increases the “price” or XR of the currency)
  - So, in terms of other currencies,
  - Prices of exports rise – Accordingly, demand for exports goes down
  - Prices of imports fall – Accordingly, demand for imports goes up
- Balance is restored as deficit countries see imports go down & exports go up while surplus countries see imports go up and exports go down
- Prices of domestic goods (& services… ***wages***) remain relatively stable
- The government is free to pursue domestic policy goals (employment, for example) by using monetary policy
  - E.g., lower interest rates to stimulate demand… economic growth; raise interest rates to fight inflation

Adjusting the BoP under Floating XR

- ~~In early 1990s, fixed XR between Argentine Peso and US Dollar~~
- Say Argentina runs a trade deficit with US, it
  - Imports = $10 billion
  - Exports = $6 billion
  - Current account deficit = -$4 billion
- So Argentina pays 10 billion USD but only receives 6 billion pesos
  - Demand for USD is higher (10>6)
  - Depreciation pressure on peso
- **With floating XR, peso depreciates**
  - USD:Peso > 1:1, say 1:2
- With depreciated Pesos, for Argentine
  - Imports from US become more expensive -> import demand drops
  - Export become cheaper for Americans -> export demand rises
  - Gradually, current account deficit shrinks

What were the goals of Bretton Woods?

- Attempted to establish a system of fixed XR in a world where governments where governments were unwilling to sacrifice employment to address imbalances
- 4 INNOVATIONS:

1. Some XR flexibility (fixed-but-adjustable “snake”)
2. Capital controls
3. A stabilization fund (held on reserve at the IMF)
4. The International Monetary Fund – authority over XR changes + conditionality attached to loans

Bretton Woods failed for several reasons

- IMF lacked true authority over XR – governments did as they saw fit
- Governments did not like IMF conditionality
- The stabilization fund was never large enough to deal with the potentially massive imbalances that come with growing globalized economic integration
- Straws that broke the BW back:
  - USA: VIETNAM + SOCIAL SPENDING + INTERNATIONAL RESERVE CURRENCY
  - ➔ SPECULATION that the US cannot maintain the fixed convertibility to gold + the French – regularly demanded American gold from the US for the $'s they accumulated
- http://www.youtube.com/watch?v=iRzr1QU6K1o

Thank You!

NYU SHANGHAI
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Take-away

- XRs: (1) Fixed, (2) Adjustable, (3) Managed, (4) Float
- Adjusting the BoP under fixed exchange rates
  - Monetary policy raises/lowers money supply to deal with surplus/deficit
- Adjusting the BoP under floating exchange rates
  - XR appreciates/depreciates to deal with surplus/deficit